6-6 Reporting Inventory in the Financial Statements

Objective 6 - Describe and illustrate the reporting of inventory in the financial statements.

Cost is the primary basis for valuing and reporting inventories in the financial statements. However, inventory may be valued at other than cost in the following cases:

- The cost of replacing items in inventory is below the recorded cost.
- The inventory cannot be sold at normal prices due to imperfections, style changes, spoilage, damage, obsolescence, or other causes.

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